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INFLATION CROSSES 6 PER CENT: WHAT OCTOBER'S NUMBERS TELL US

By **Kamlesh Bhagatkar**, *Author & Geopolitical Analyst · 14 November 2026*

Retail inflation in India rose to 6.09 per cent in October 2026, according to provisional figures the National Statistics Office released on Thursday, 12 November. In September it was 5.54 per cent. Food inflation, measured by the Consumer Food Price Index, rose to 8.94 per cent from 7.74 per cent.

Villages felt it more than cities. Rural inflation was 6.63 per cent and urban inflation 5.41 per cent, according to the Ministry of Statistics and Programme Implementation (MoSPI). Food inflation was 9.09 per cent in rural areas and 8.68 per cent in urban areas.

The headline number matters because of where it sits. India's inflation target is 4 per cent, with a tolerance band of 2 to 6 per cent. October's reading is above the top of that band. According to IANS and 5paisa, it is the first time inflation has crossed 6 per cent under the new CPI series, which uses 2024 as its base year. Down To Earth called it a two-year high.

What is driving prices up

The MoSPI release lists the five items with the highest inflation. Onion leads at 116.22 per cent, up from 108.13 per cent in September. Garlic is at 60.74 per cent, ginger at 48.32 per cent and lemon at 47.30 per cent. The only non-food item in the list is silver jewellery, at 52.39 per cent.

Down To Earth reported that on 12 November onions averaged Rs 53.81 a kilo, against Rs 26.91 a year earlier, and that sugar averaged Rs 60.40 against Rs 46.59. The same report blamed erratic weather, rainfall deficits linked to El Niño and crop diseases for the pressure on food, and pointed to higher crude oil and fertiliser costs during the West Asia conflict.

Food is only part of the story. Two other groups in the MoSPI tables show double-digit inflation: restaurants and accommodation services at 10.06 per cent, and personal care, social protection and miscellaneous goods and services at 10.14 per cent. Transport is at 5.84 per cent. Health, at 2.05 per cent, is the lowest of all the groups.

Food and beverages now carry a smaller weight in the index than before. Down To Earth noted that their weight fell from 45.86 per cent to 36.75 per cent, yet food was still the main contributor to the rise. I think that is the most worrying detail in this release. Even with a lighter weight in the basket, food has pushed the headline number over the limit.

What it means for the RBI and for households

The Reserve Bank's Monetary Policy Committee raised the repo rate by 25 basis points to 5.50 per cent at its meeting of 5 to 7 October, and changed its stance to "calibrated tightening". The minutes show that all six members voted for the increase. Two members, Dr Nagesh Kumar and Prof. Ram Singh, wanted the stance kept at neutral.

In October the RBI projected inflation at 6.0 per cent for the October to December quarter and 5.2 per cent for 2026-27 as a whole. So the first month of the quarter has come in slightly above the RBI's own estimate. The next MPC meeting is on 2 to 4 December.

Economists are already making their calls. SBI Research, as reported by IANS, now expects a 25 basis point increase in December. It wrote that "the balance of probabilities has decisively shifted towards a 25-bps rate hike in December", and that earlier expectations of three or four successive hikes "now appear to be an outlier". It also said: "We see the terminal repo rate settling at around 6 per cent, with a downside possibility of 5.75 per cent." The same report expects inflation to stay above 6 per cent next month before it declines.

5paisa reported that at least six economists expect a 25 basis point increase in December, including Dipti Deshpande of Crisil and Madhavi Arora of Emkay Global Financial Services. Several of them also said the RBI must weigh the cost to growth of further tightening if inflation stays driven mainly by supply.

That last point is the one I would underline for readers. Higher interest rates cool demand. They do not bring rain to a dry field or cure a diseased onion crop. When the biggest price rises are in onions, garlic and ginger, monetary policy can stop those rises spreading into wages and other prices, but it cannot lower vegetable prices by itself. In my view, the faster relief has to come from the supply side: stock releases, imports where needed and better storage for perishables. Those are decisions for the government, not the RBI.

For a family budget, the rural figure says more than the headline. At 6.63 per cent overall and 9.09 per cent for food, the villages are carrying the heavier load. A household in Vidarbha that spends a large share of its income on food feels an onion price that has doubled far more sharply than an urban household does.

What to watch next

The first date is the MPC meeting from 2 to 4 December. The second is the November CPI release, which MoSPI says will come out on 14 December. If SBI Research is right, that reading will also be above 6 per cent. The third is the price of onions in the mandis over the coming weeks, which will show whether the October spike is easing.

Sources

- MoSPI: Press release of Consumer Price Index on base 2024=100 for October, 2026
- Reserve Bank of India: Minutes of the Monetary Policy Committee Meeting, October 5 to 7, 2026
- Down To Earth: India's retail inflation hits two-year high of 6.09% as food prices rise
- DT Next (IANS): RBI likely to hike rate by 25 bps in Dec, not 50 bps: Report
- 5paisa: October inflation reaches 6.09% as economists expect a December rate hike
- Xinhua: India's retail inflation rises to 6.09 pct in October



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